(iv) Discarding the system of licensing of surveyors by the controller of Insurance.

(v) Restructuring the Tariff Advisory Committee.

(vi) Setting up a regulatory anthority for the insurance industry (the IRDA set up in 2000).

IRDA

The Insurance Regulatory and Development Authority (IRDA) was set up in 2000 (the Act was passed in 1999) with one chairman and five members (two as wholetime and three as part-time members) appointed and nominated by the Government. The authority is responsible for the regulation, development and supervision of the Indian insurance industry.

There are 29 insurance companies in India (15 in life segment and 14 in the non-life segment) which have been able to cover 40 million lives in the country. Out of the local life and non-life segment, insurance coverage in the rural areas have a share of 17 per cent and 14 per cent respectively, still too much needs to be done for the development of insurance in the country. (See the Select Model Answers on the topic.)

AICIL

The Agricultural Insurance Company of India Ltd. (AICIL) was set up in 2002 in the public sector to look after the National Agricultural Insurance Schemes (NAIS) of 1999[4]. Till its arrival the responsibility was on the GIC whose losses were supposed to be reimbursed by the Central Government. Now the GIC does not play this role.

Public Sector Insurance Companies

There are six public sector insurance companies operating in the country—one in life segment (LIC), four in the non-life segment and one in the agriculture sector (AICIL).

Reinsurance